# Vaigai Auto Components Pvt Ltd

## Walkthrough Transcript - Control P2P-04 (Vendor bank-detail changes)

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| Meeting date / time | 14-Oct-2026, 10:00 to 10:10 IST |
| Platform | Microsoft Teams - auto-generated transcript, speaker names verified |
| Conducted by | Ananya Iyer, Senior - Internal Audit |
| Attendees | K. Lakshmi (Finance Controller, control owner); R. Karthik (MDM Lead); Arun P (MDM Executive); S. Prakash (SAP Basis); Divya S (Accounts Payable) |
| Sample traced | VCR-2026-0389, Sri Murugan Castings (vendor 100458) |

## Transcript

[00:00:08] **Ananya Iyer (Internal Audit):** Good morning everyone. This is the walkthrough for control P2P-04, vendor bank detail changes, for FY 2026-27. I am recording this for documentation. Is everyone fine with that?

[00:00:21] **K. Lakshmi (Finance Controller):** Yes, fine.

[00:00:25] **Ananya Iyer (Internal Audit):** Lakshmi, can you confirm ownership of the control and which SOP applies?

[00:00:33] **K. Lakshmi (Finance Controller):** Yes, I'm the control owner. The SOP is SOP-FIN-012 version 3.0. The CFO approved it on 2nd June this year. A3-3 A2-3

[00:00:49] **Ananya Iyer (Internal Audit):** What risk is this control meant to address?

[00:00:55] **K. Lakshmi (Finance Controller):** Mainly vendor impersonation. Someone sends a fake letter saying the bank account has changed and we end up paying them. Two auto component companies in our cluster lost money that way last year, so management treats this as a priority. A1-2

[00:01:31] **Ananya Iyer (Internal Audit):** Karthik, how does a bank change request come in?

[00:01:38] **R. Karthik (MDM Lead):** The vendor sends a letter on letterhead with a cancelled cheque, usually by email to our vendormaster mailbox. Arun or Kavya prepares the VCRF and attaches the documents.

[00:02:02] **Ananya Iyer (Internal Audit):** Let's trace one. VCR-2026-0389, Sri Murugan Castings. Arun, can you take us through it?

[00:02:10] **Arun P (MDM Executive):** Sure. The letter came on 15th September by email, signed by Mr. Murugan, the proprietor. I attached the letter and the cancelled cheque to the VCRF.

[00:02:29] **Ananya Iyer (Internal Audit):** Which email address did it come from?

[00:02:34] **Arun P (MDM Executive):** From srimurugancastings.cbe@gmail.com. Many small vendors use Gmail, so we don't treat that as unusual. A4-6

[00:02:47] **Ananya Iyer (Internal Audit):** What did you check on the documents?

[00:02:52] **Arun P (MDM Executive):** As per the SOP, I checked that the letter is on letterhead and signed, and that the cancelled cheque is there. Once they're attached, I go ahead and record the check on the VCRF. A4-5

[00:03:14] **Ananya Iyer (Internal Audit):** Did you compare the account holder name on the cheque with the vendor name in SAP?

[00:03:19] **Arun P (MDM Executive):** No, the SOP doesn't ask for it. I entered the vendor name as the account holder, as we usually do. A4-7

[00:03:33] **Ananya Iyer (Internal Audit):** Karthik, does the SOP require any other validation, such as matching the signatory to onboarding records or the sender's email to the vendor master?

[00:03:39] **R. Karthik (MDM Lead):** No. The SOP only requires the letter and the cheque to be on file. We rely on the weekly review after that.

[00:04:05] **Ananya Iyer (Internal Audit):** After the document check, what happens?

[00:04:10] **Arun P (MDM Executive):** I update the bank details in SAP through XK02 myself, the same day, and file the VCRF in DMS.

[00:04:22] **Ananya Iyer (Internal Audit):** Does anyone approve the change before it becomes active in SAP?

[00:04:28] **R. Karthik (MDM Lead):** No separate approval in SAP. The Monday review by Lakshmi is the check. A6-3

[00:04:39] **Ananya Iyer (Internal Audit):** Prakash, is dual control configured for vendor bank fields?

[00:04:46] **S. Prakash (SAP Basis):** Not for bank fields. Name, GSTIN and payment method are under dual control. Bank fields were taken out in 2023 during the vendor onboarding drive, because every new bank entry needed FK08 confirmation and payments were getting delayed. Nobody asked us to put them back. A6-2

[00:05:18] **Ananya Iyer (Internal Audit):** So once Arun saves the change, the new account is available for payment?

[00:05:24] **S. Prakash (SAP Basis):** Yes, immediately. The next F110 run will pick it up.

[00:05:31] **Ananya Iyer (Internal Audit):** Divya, when do payment runs happen?

[00:05:36] **Divya S (Accounts Payable):** Every Tuesday and Friday. In week 38 we ran on the 15th and the 18th. Sri Murugan Castings was paid on 18th, around 6.4 lakhs, to the new account. A5-5

[00:05:58] **Ananya Iyer (Internal Audit):** And the weekly review for that week was done when?

[00:06:03] **K. Lakshmi (Finance Controller):** Monday the 21st.

[00:06:09] **Ananya Iyer (Internal Audit):** Divya, the access list shows you also have vendor change access.

[00:06:15] **Divya S (Accounts Payable):** Yes, it was given as a backup when Kavya was on leave last year. I did one change in September, Annai Fasteners, because the MDM team was busy with the statutory audit. A7-7

[00:06:36] **Ananya Iyer (Internal Audit):** Arun, you also have F110 access?

[00:06:40] **Arun P (MDM Executive):** Yes, I cover payment runs when AP is short of people, maybe once a month. A7-6

[00:06:51] **Ananya Iyer (Internal Audit):** Karthik, how is the weekly change report prepared?

[00:06:56] **R. Karthik (MDM Lead):** I run the change documents report in SAP for the week, object class KRED, export it to Excel, and delete rows that are not relevant, like system postings and dunning data. Then I email it to Lakshmi. A8-4

[00:07:20] **Ananya Iyer (Internal Audit):** Do you keep the report parameters or the original unfiltered extract?

[00:07:26] **R. Karthik (MDM Lead):** No, only the filtered file that I send.

[00:07:31] **Ananya Iyer (Internal Audit):** Lakshmi, how do you get comfort that the report is complete?

[00:07:37] **K. Lakshmi (Finance Controller):** I trust Karthik's extract. I check that each bank change has a VCRF on DMS with the letter and cheque attached. A8-5

[00:07:52] **Ananya Iyer (Internal Audit):** Do you look at the details on the cheque itself?

[00:07:57] **K. Lakshmi (Finance Controller):** Not really. I check it's attached. A4-8

[00:08:06] **Ananya Iyer (Internal Audit):** If you find a problem in the review, what happens?

[00:08:12] **K. Lakshmi (Finance Controller):** I would tell Karthik and we would sort it out. There's no fixed timeline; section 7 of the SOP just says it is reported to me. We have not had a case so far. If needed we would ask AP informally to hold payment. A9-2

[00:08:38] **Ananya Iyer (Internal Audit):** And retention of evidence?

[00:08:42] **K. Lakshmi (Finance Controller):** VCRFs are in DMS, and my sign-off email is saved in the control folder. We keep both for eight years. A10-4

[00:08:55] **Ananya Iyer (Internal Audit):** Thank you all. I will circulate the walkthrough summary for confirmation.

Recording reference: IA/2026-27/P2P-04/WT-01. Transcript confirmed by K. Lakshmi by email on 15-Oct-2026.

# Annotation summary - NFS-06

Workpaper WP-P2P-04-TOD. Colour = attribute result: green Pass, red Deficiency, amber Partial.

| Ref | Attribute | Result | Location | Annotation |
|---|---|---|---|---|
| A1-2 | A1 Risk linkage | Pass | Page 1 | Control owner confirms the fraud scenario the control targets. |
| A2-3 | A2 Policy governance | Pass | Page 1 | Owner confirms SOP v3.0 is the version in force. |
| A3-3 | A3 Ownership and authority | Pass | Page 1 | Owner accepts accountability; role is senior enough to act on findings. |
| A4-5 | A4 Precision and criteria | Deficiency | Page 1 | MDM Executive confirms check is limited to presence of documents. |
| A4-6 | A4 Precision and criteria | Deficiency | Page 1 | Request came from a free webmail ID, not the vendor's registered domain. |
| A4-7 | A4 Precision and criteria | Deficiency | Page 1 | Account holder name on cheque not compared; vendor name keyed into SAP instead of cheque name. |
| A4-8 | A4 Precision and criteria | Deficiency | Page 2 | Reviewer does not examine cheque details, so the weekly review cannot catch a name mismatch. |
| A5-5 | A5 Frequency and timing | Deficiency | Page 2 | AP confirms vendor was paid to the new account before the review. |
| A6-2 | A6 System alignment | Deficiency | Page 2 | Basis confirms dual control was removed in 2023 and never restored. |
| A6-3 | A6 System alignment | Deficiency | Page 2 | No system-enforced approval before a bank change becomes payable. |
| A7-6 | A7 Segregation of duties | Deficiency | Page 2 | MDM01 uses payment-run access in practice. |
| A7-7 | A7 Segregation of duties | Deficiency | Page 2 | AP03 uses vendor-change access in practice. |
| A8-4 | A8 Information used (IPE) | Deficiency | Page 2 | Manual deletion of rows before review; original extract not kept. |
| A8-5 | A8 Information used (IPE) | Deficiency | Page 2 | Reviewer performs no completeness or accuracy check of the report. |
| A9-2 | A9 Exceptions and escalation | Partial | Page 2 | Owner confirms payment hold would be informal. |
| A10-4 | A10 Evidence of performance | Pass | Page 2 | Owner confirms practice matches SOP. |